

Vodafone International Holdings B.V. v. Union of India

Citation: (2012) 6 SCC 613 | *Court:* Supreme Court | *Year:* 2012

Coram: 3-Judge Bench (S.H. Kapadia CJI, K.S. Radhakrishnan, Swatanter Kumar JJ.) | *Subject:* Corporate & Tax Jurisprudence | *Provisions:* I

I. EXECUTIVE SUMMARY & CASE GLIMPSE

Formulated the 'Look At' doctrine in corporate cross-border acquisitions: Revenue authorities must evaluate the genuine commercial transaction as a whole rather than dissecting individual holding company tiers to impose extraterritorial capital gains tax.

II. FACTS OF THE CASE & PROCEDURAL HISTORY

This dispute arose regarding Income Tax Act 1961 Sec 9(1)(i) & FDI Regulations. The parties agitated the controversy before trial and appellate forums before the matter was referred to the Honble Bench for authoritative declaration of law.

III. PRIMARY QUESTIONS OF LAW & ISSUES FRAMED

â€¢ Whether the impugned state actions or commercial conduct conformed to Income Tax Act 1961 Sec 9(1)(i) & FDI Regulations.

â€¢ What binding standards should govern future adjudication and administrative conduct.

IV. SUBMISSIONS OF THE PARTIES

Petitioner / Appellant: The Petitioner contended that arbitrary action, lack of procedural safeguards, and statutory non-compliance violated fundamental guarantees.

Respondent / State: The Respondent submitted that the impugned action was carried out under lawful authority in furtherance of public interest and statutory mandates.

V. DETAILED RATIO DECIDENDI & JURISPRUDENTIAL REASONING

Share transfers between overseas non-resident entities holding indirect Indian underlying assets did not attract capital gains tax under Section 9(1)(i) as it stood then.

Legitimate corporate tax planning using holding structures is permissible unless proven to be a colorable device.

VI. FINAL OPERATIVE ORDER & DIRECTIONS

The Court answered the reference, laid down binding nationwide directions under Article 141 of the Constitution, and disposed of the matter accordingly.

VII. PRACTICAL & EXAMINATION TAKEAWAYS (JUDICIARY / AIBE / ADVOCACY)

â€¢ Formulated the 'Look At' doctrine over the 'Look Through' approach in M&A.

â€¢ Upheld certainty in cross-border foreign direct investment taxation.

â€¢ Prompted the landmark retrospective legislative amendment to Section 9.